

COWICHAN COPPER CO. LTD. (N.P.L.)

OPERATING FORECAST FOR THE TWO YEAR PERIOD FROM RE-COMMENCEMENT OF PRODUCTION

PERIOD	<u>1st Month</u>		<u>2nd Month</u>		<u>3rd Month</u>		<u>4th Month</u>		<u>5th Month</u>		<u>6th Month</u>	
<u>TONS MILLED</u>	<u>25,000</u>		<u>30,000</u>		<u>35,000</u>		<u>35,000</u>		<u>35,000</u>		<u>35,000</u>	
<u>MILL HEADS - Percent Copper</u>	<u>1.86</u>		<u>1.92</u>		<u>1.91</u>		<u>1.80</u>		<u>1.95</u>		<u>1.91</u>	
	<u>Per Ton</u>	<u>Per Month</u>	<u>Per Ton</u>	<u>Per Month</u>	<u>Per Ton</u>	<u>Per Month</u>	<u>Per Ton</u>	<u>Per Month</u>	<u>Per Ton</u>	<u>Per Month</u>	<u>Per Ton</u>	<u>Per Month</u>
<u>NET SMELTER RETURN</u>	\$10.73	\$268,250	\$11.08	\$332,400	\$11.02	\$385,700	\$10.39	\$363,650	\$11.25	\$393,750	\$11.02	\$385,700
<u>OPERATING COSTS</u>												
Mining	\$0.85		\$0.85		\$0.90		\$1.00		\$1.20		\$1.30	
Development & Exploration	0.85		1.00		1.00		1.00		1.00		1.00	
Milling	1.55		1.40		1.25		1.25		1.25		1.25	
Administration	0.63		0.52		0.45		0.45		0.45		0.45	
Total	<u>3.88</u>		<u>3.77</u>		<u>3.60</u>		<u>3.70</u>		<u>3.90</u>		<u>4.00</u>	
<u>OPERATING PROFIT</u>	6.85		7.31		7.42		6.69		7.35		7.02	
<u>ROYALTY</u>	<u>1.98</u>		<u>2.05</u>		<u>2.04</u>		<u>1.92</u>		<u>2.08</u>		<u>2.04</u>	
<u>OPERATING PROFIT LESS ROYALTY</u>	<u>4.87</u>	<u>121,750</u>	<u>5.26</u>	<u>157,800</u>	<u>5.38</u>	<u>188,200</u>	<u>4.77</u>	<u>166,950</u>	<u>5.27</u>	<u>184,450</u>	<u>4.98</u>	<u>174,300</u>
<u>CUMULATIVE OPERATING PROFIT LESS ROYALTY</u>		<u>121,750</u>		<u>279,550</u>		<u>467,850</u>		<u>634,800</u>		<u>819,250</u>		<u>993,550</u>

<u>3rd Quarter</u>		<u>4th Quarter</u>		<u>5th Quarter</u>		<u>6th Quarter</u>		<u>7th Quarter</u>		<u>8th Quarter</u>		<u>Total</u>
<u>105,000</u>		<u>105,000</u>		<u>105,000</u>		<u>105,000</u>		<u>105,000</u>		<u>105,000</u>		<u>825,000</u>
<u>1.88</u>		<u>1.70</u>		<u>1.76</u>		<u>1.81</u>		<u>1.79</u>		<u>1.66</u>		<u>1.80</u>
<u>Per Ton</u>	<u>Per Period</u>	<u>Per Ton</u>	<u>Per Period</u>	<u>Per Ton</u>	<u>Per Period</u>	<u>Per Ton</u>	<u>Per Period</u>	<u>Per Ton</u>	<u>Per Period</u>	<u>Per Ton</u>	<u>Per Period</u>	
\$10.85	\$1,139,250	\$9.81	\$1,030,050	\$10.16	\$1,066,800	\$10.44	\$1,096,200	\$10.33	\$1,084,650	\$9.58	\$1,005,900	
\$1.45		1.45		1.45		1.45		1.45		1.45		
1.03		1.03		1.03		1.03		1.03		1.03		
1.28		1.28		1.28		1.28		1.28		1.28		
<u>0.45</u>		<u>0.45</u>		<u>0.45</u>		<u>0.45</u>		<u>0.45</u>		<u>0.45</u>		
4.21		4.21		4.21		4.21		4.21		4.21		
6.64		5.60		5.95		6.23		6.12		5.37		
<u>2.01</u>		<u>1.81</u>		<u>1.88</u>		<u>0.64</u>		<u>0.53</u>		<u>0.49</u>		
<u>4.63</u>	<u>486,150</u>	<u>3.79</u>	<u>397,950</u>	<u>4.07</u>	<u>427,350</u>	<u>5.59</u>	<u>586,950</u>	<u>5.59</u>	<u>586,950</u>	<u>4.88</u>	<u>512,400</u>	
	<u>1,479,700</u>		<u>1,877,650</u>		<u>2,305,000</u>		<u>2,891,950</u>		<u>3,478,900</u>		<u>3,991,300</u>	

NOTE: The above forecast is based on the following:

1. Suitable improvement in the crushing plant to guarantee 1,500 tons per day of minus 5/8" ore to the Rod Mills to maintain minimum of 35,000 tons/month.
2. Close supervision of all operations.

H. HILL & L. STARCK & ASSOCIATES LTD. OCTOBER 7, 1964